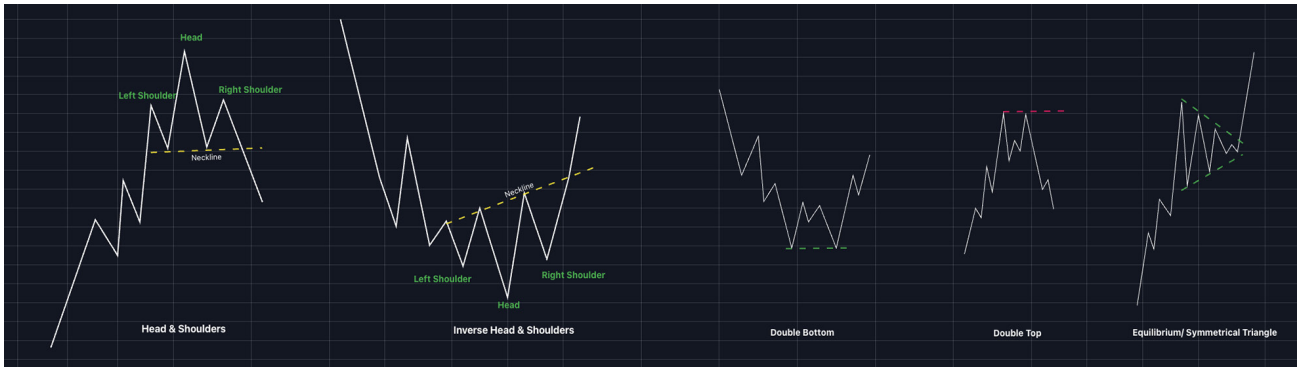
TOP THREE CHART PATTERNS TO MASTER

Trading can seem simple at first but as we dive in we can get overwhelmed. We realize it's more complex than buying low and selling high. Trading well involves more than using a few trend lines and indicators. We must focus on mastering our own emotions, learning the hottest new indicators, and managing our risk parameters on a trade. These are all elements that can sometimes make trading a frustrating game.



There are many chart patterns out there. In this article, we'll highlight three key patterns that we encourage you to start with to build up your confidence, before moving on and mastering the other necessary skills to become a consistent and balanced trader.

1. **Double Bottom / Double Top**
2. **Equilibrium / Symmetrical Triangle**
3. **Head & Shoulders / Inverse Head & Shoulders**

1. Monitor / Track 5 tickers only

Look at just a handful of tickers and learn the price behavior of them. We shouldn't jump to the next hype stock tip you saw from reddit versus testing the patterns below to see which ones work best on that ticker.

2. Use patterns in conjunction with other indicators

Trading on pattern recognition alone can be difficult. You need to consider RSI, volume, and other indicators to support your thesis/ trade idea. We must be aware that news can impact the price action at any time.

3. Draw trend lines on candle bodies or candle wicks

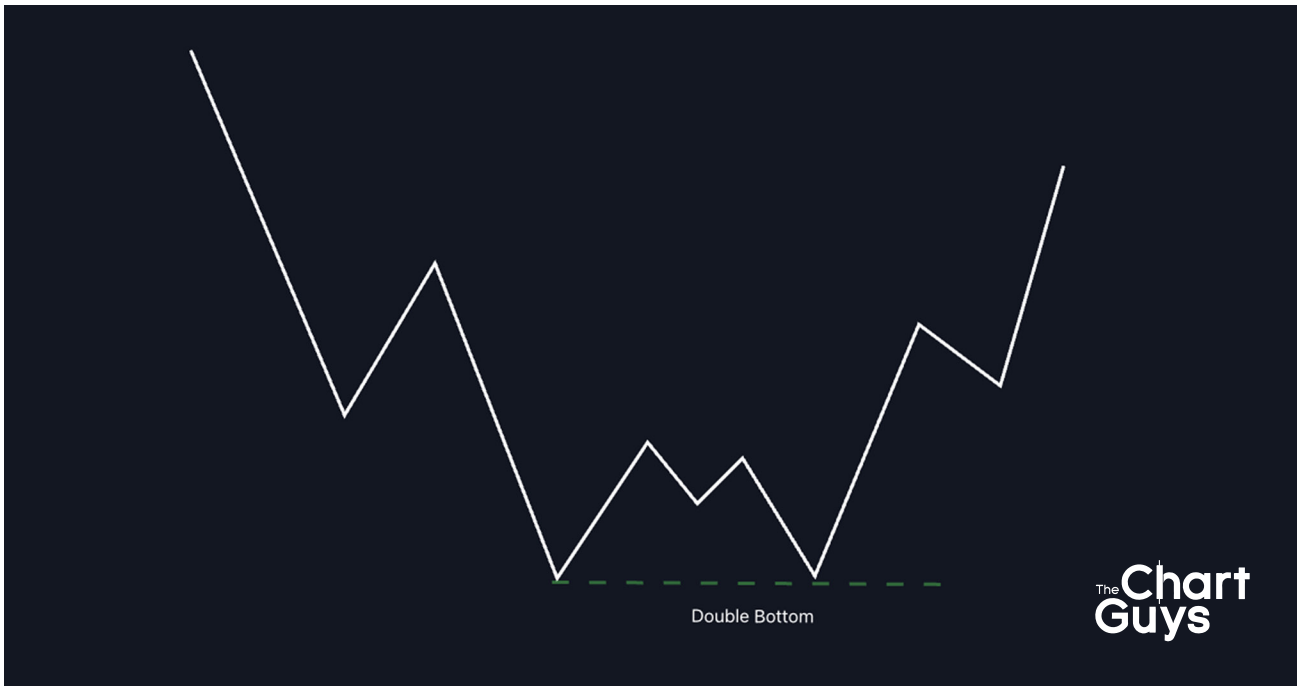
Chart patterns can be very subjective. At The Chart Guys, we encourage you to either draw trend lines on the body of candles or candle wicks. Drawing trend lines on either candle bodies or candle wicks has proven to be more accurate and provides helpful guidance.

4. Use a demo account

Even if you have a live, funded account, try paper trading on a demo account using a realistic trading amount. Paper trading to simulate potential profit and losses will build up your confidence.

5. Spot your strengths and weaknesses

Different people struggle with different elements of trading. For example, some find pattern recognition difficult yet others find it easy. Some traders find it hard to manage their emotions and follow their trading plan. Highlight your weaknesses and concentrate on them far more.



1. DOUBLE BOTTOM / DOUBLE TOP

A double bottom pattern is a chart pattern that describes a change in trend and a momentum reversal from prior leading price action. It describes the drop of an asset, a rebound, another drop to the same or similar level as the original drop, and finally another rebound. The double bottom looks like the letter "W". The twice-touched low is considered a support level.

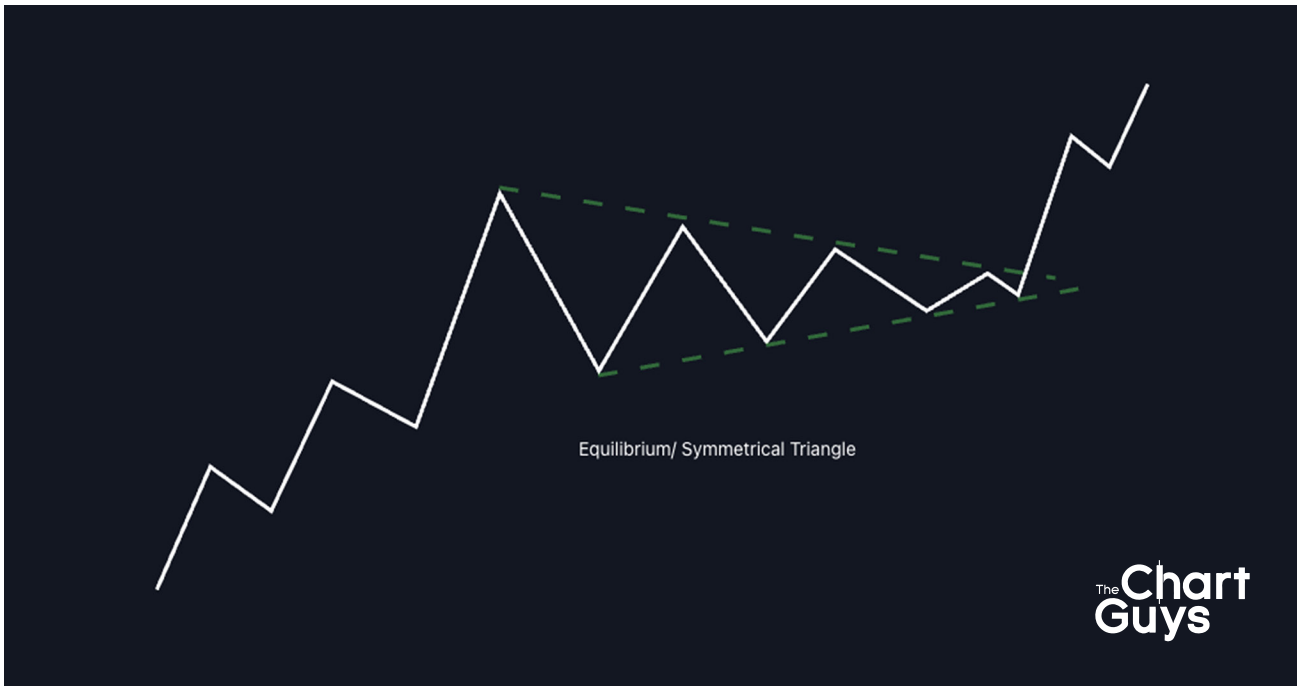
When entering a potential double bottom, look for the higher time frame to be in an uptrend to increase more odds in your favor. This is an easy pattern to trade because you have a clear level to play off. Many newer traders do not allow wiggle room in their stop loss. Market makers and larger traders may try to push the price slightly below the support to hit the novice trader's stop loss. This is also known as a stop hunt, which can be frustrating as the trade can often go in the bullish direction you anticipated!

Try allowing some extra room for your stop to avoid fake-outs. How much? This depends on how volatile the asset is and comes from monitoring that particular ticker. We won't go into depth about exit strategies in this article but simple levels to take profit can be determined by previous resistance, the break of the uptrend, EMAs, fib levels, etc...

A double top pattern is exactly the same as a double bottom, but we're looking for a rejection off resistance to play short.

Double Bottom Gold (Daily) on March 31st 2021 – Weekly uptrend, but the daily was in a downtrend.

Double Top AAPL (1hr) on April 21st, 2022 – Daily downtrend, but 1hr uptrend with 2 clear double top setups.



2. EQUILIBRIUM / SYMMETRICAL TRIANGLE

A symmetrical triangle – also known as an equilibrium – is a chart pattern characterized by two converging trend lines connecting a series of sequential peaks and troughs. These trend lines should be converging at a roughly equal slope forming a high, low, lower high, higher low, lower high, etc. Do not confuse these with ascending or descending wedges or with ascending or descending triangles.

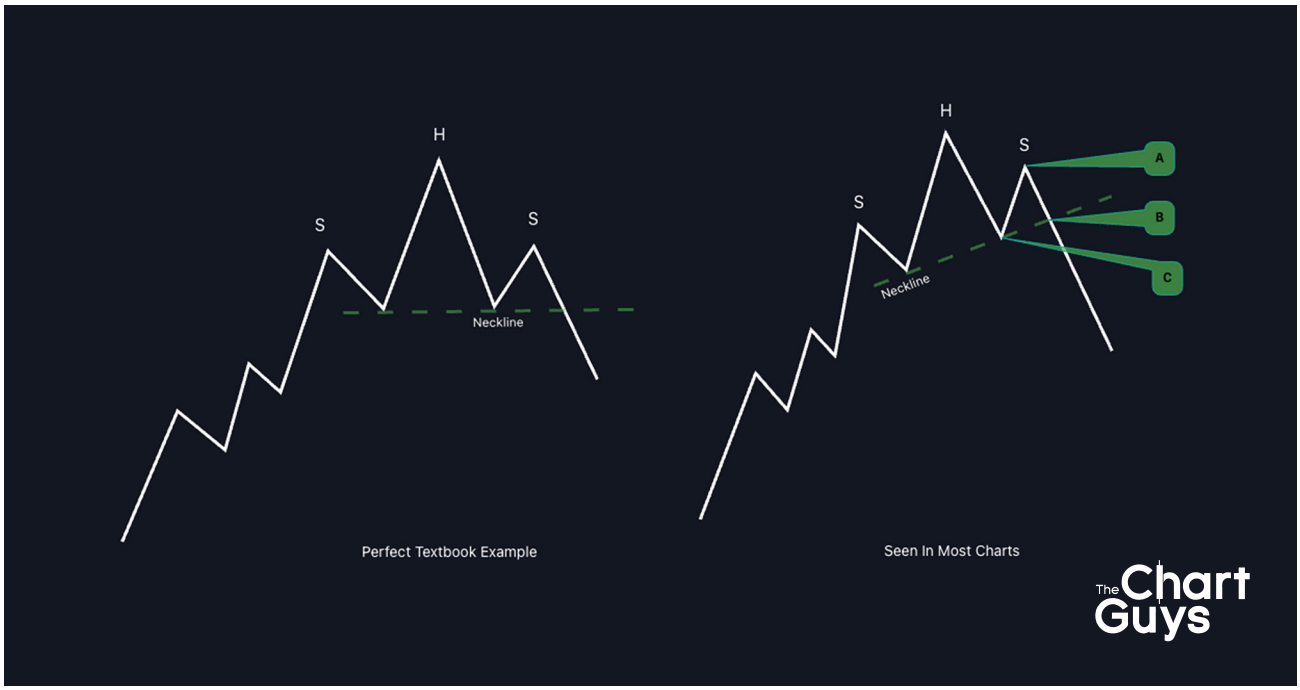
An equilibrium often occurs after a major move as price consolidates and contracts to find balance until another explosive move as either the bulls or bears tilt the balance.

Equilibriums can break either way; however, you can tilt the odds in your favor if you trade in the direction of the prevailing trend. The key is to spot an Equilibrium early on and then begin building a position. After establishing a position, scaling out with partial profits before price contracts further may be wise. Ideally, scaling out allows a break-even point to form below the last lower high. This means you have a tighter stop loss to know early on if the pattern has broken in the wrong direction. In a textbook example, the target breakout move should be the height of the triangle.

Clues: The trading volume normally becomes lower when we're approaching the apex of an equilibrium.

Equilibrium ETH/USDT (4hr) on November 7th, 2020 – Daily uptrend with a 4hr equilibrium.

Equilibrium Silver (1hr) on March 10th, 2022 – An equilibrium with eventual bearish continuation.



3. HEAD & SHOULDERS / INVERSE H&S

These appear at the tops of trends to signify a trend reversal. The textbook example from Investopedia of a H&S pattern is a chart formation that appears as a baseline with three peaks, where the outside two are close in height and the middle is highest.

In technical analysis, a head and shoulders pattern describes a specific chart formation that predicts a bullish-to-bearish trend reversal. The H&S pattern is believed to be one of the most reliable trend reversal patterns. It is one of several top patterns that signal, with varying degrees of accuracy, that an upward trend is nearing its end.

TCG Style Of Playing Head & Shoulders

In most situations, a head and shoulders pattern won't be perfectly visible for newer traders like the above textbook illustration. The psychology of the pattern is a trend change by breaking the pattern of higher highs and higher lows, therefore the baseline of most H&S patterns can be slanted and still be valid. Like other patterns the skill is to identify this pattern early on and if you feel the bullish momentum is diminishing or we're approaching resistance on a higher timeframe, you can look (bearish) at scaling into the right shoulder (indicated at point A) or a break of the H&S neckline (indicated by point B) or the break of the uptrend (indicated at point C).

An Inverse Head & Shoulders Pattern (IHS) is the reverse. These appear at the bottom of downtrends and signify a shift to an uptrend.

Tip: The clearer the H&S pattern is to identify, the more traders will notice it and the break of the baseline should be supported by big volume.

Head & Shoulders Silver (1hr) on April 18th, 2022 with a textbook example.

Inverse Head & Shoulders Silver (1hr) on November 3rd, 2021 – 4hr downtrend which resulted in a 1hr Inverse H&S.

1. Don't move your stop loss to your entry

Novice traders try and move their stops to their entry point as the price moves in the desired direction, however this is a rookie mistake because technically price can hit your stop and still be in a valid trend. Your stop needs to be in a position that proves the trend has been broken or the predicted pattern is not valid.

2. Use entry zones, not just a fixed price level

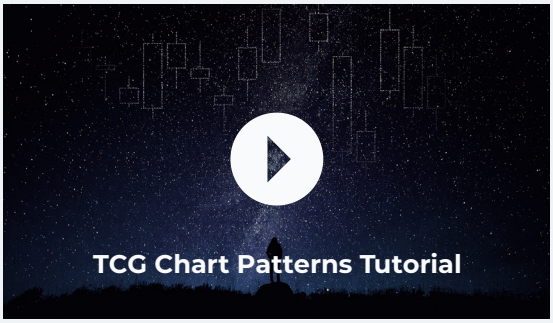
Using zones of interest to enter is more beneficial than trying to nail the absolute trend line entry. In hype markets, people can front run certain levels and this can leave you on the side-lines.

3. Scale into your positions

Furthermore to entry zones, you can split up your trade size and enter at different levels within a zone, ensuring you get at least one entry if the price bounces above or below the area of support or resistance.

FURTHER INFO

We offer so much more education on technical analysis. Here are some related resources...



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